

such circumstances it seemed to many that it had become virtually impossible to lose by owning stocks. And many who wanted to cash in as much as possible on this sure thing bought on margin to obtain more shares than they could otherwise afford. We all know what happened when reality shattered this particular appraisal. The agony of the Great Depression and the bear market of 1929 to 1932 will be long remembered.

Contrary in outlook, but similar in being spectacularly wrong, was the investment community's appraisal of common stocks as an investment vehicle in the three years from mid-1946 to mid-1949. Most companies' earnings were extremely pleasing. However, pursuant to the then current appraisal, stocks were selling at the lowest price-earnings ratios in many years. The financial community was saying that "these earnings don't mean anything," that they were "just temporary and would shrink sharply or disappear in the depression that must come." The financial community remembered that the Civil War had been followed by the panic of 1873, which marked the onset of a very severe depression that lasted until 1879. Following World War I had come the even worse crash of 1929 and another six years of major depression. Since World War II had involved a vastly greater effort and therefore a greater distortion of the economy than World War I, it was assumed that an even bigger bear market and an even worse depression were on the horizon. As long as this appraisal lasted, most stocks were so much on the bargain counter that when it began to dawn on the investment community that this image was false and that no severe depression lay in wait, the foundations had been laid for one of the longest periods of rising stock prices in U.S. history.

Since the bear market of 1972–1974 brought with it the only other time in this century when most price-earnings ratios were about as low as they were in the 1946–1949 period, the question obviously arises as to the soundness of the financial community's appraisal that brought this about. Are the fears engendering these historically low price-earnings ratios valid? Could this be another 1946–1949 all over again? An attempt will be made to throw some light on these matters in a later section of this book.

There is a basic difference between the factors that affect changes in the general level of all stock prices and those that affect the relative price-earnings ratio of one stock compared to another within that general level. For reasons already discussed, the factors at any given moment that